

Salon Profit Calculator Guide

A clear guide to understanding costs, price floors, margins, and monthly income goals.

4

CALCULATOR TABS

\$197

BUNDLE PRICE

1

SPREADSHEET INCLUDED

0

GUESSWORK NEEDED

Why Most Salon Owners Are Undercharging

If you set your prices by looking at what competitors charge, asking around, or going with your gut — you're not alone. Most stylists do. But here's the problem: none of those methods actually tell you whether you're making money.

Pricing without knowing your real costs means you could be fully booked and still not profitable. It means giving discounts you can't afford. It means never knowing if a slow week is fine or a financial emergency.

This calculator fixes that. Four simple tabs. Real numbers. Total clarity on what you need to charge, what you need to earn, and whether your current business model is working.

What's Included

Tab

Name

What It Does

1

Service Pricing Calculator

Calculates your true price floor for any service based on supply costs, time, and target hourly rate

2

Break-Even Tracker

Shows exactly how many services you need to sell each month to cover all your costs

3

Service Menu Planner

Maps your full menu with price floors, current prices, and margin per service

4

Monthly Profit Goal Setter

Works backward from your income goal to tell you exactly what you need to do each week

TAB 1

Service Pricing Calculator

This tab answers the most important question in your business: what is the minimum you can charge for this service and still make money?

How to use it:

Enter your inputs for each service in the blue cells. The calculator does the rest.

Input Field

What to Enter

Example

Service Name

The name of the service as it appears on your menu

Full Balayage

Supply Cost (\$)

All product costs for this service — color, developer, foils, gloves, toner

\$18.00

Service Duration (min)

Total chair time including processing

180 min

Target Hourly Rate (\$)

What you want to earn per hour of your time

\$65/hr

Overhead Per Hour (\$)

Booth rent, utilities, software — divided by
hours worked per day

\$12/hr

Washout/Finish Time (min)

Rinse, blow dry, style — add to total if separate
from above

30 min

The Formula Behind It

Price Floor = Supply Cost + (Total Minutes ÷ 60) × (Hourly Rate + Overhead Per Hour)

The calculator outputs three numbers for every service:

- Price Floor — the absolute minimum you should charge (covers costs + hits your target rate)
- Recommended Price — price floor + 20% margin buffer for slow weeks, product waste, and unbillable time
- Margin at Current Price — if you enter your current price, it shows exactly what you're keeping per service

Real Example

Your Input

Service

Full Balayage

Supply Cost

\$22

Duration

3.5 hours

Target Hourly Rate

\$60/hr

Overhead Per Hour

\$10/hr

Price Floor

$\$ = 22 + (3.5 \times \$70) = \$267$

Recommended Price

$\$267 \times 1.20 = \320

Your Current Price

\$280

Margin at Current Price

$\$280 - \$267 = \$13$ per service (you're undercharging)

In this example, the stylist is charging \$280 for a service that needs to be priced at \$320 to hit their income goal. Multiply that by 5 balayages a week and they're leaving \$200/week — \$10,400/year — on the table.

———— **TAB 2**

Break-Even Tracker

Your break-even point is the number of services you need to perform each month just to cover your fixed costs. Anything above that is profit. Most salon owners have no idea what this number is.

What to enter:

Expense Category

What to Include

Booth Rent / Chair Rent

Your monthly booth or suite rental fee

Product & Supply Budget

Monthly spend on color, retail, tools, and supplies

Software Subscriptions

Booking system, email platform, Canva, etc.

Education & Training

Classes, certifications, memberships (monthly average)

Marketing Budget

Paid ads, printed materials, giveaways

Health Insurance / Benefits

If self-employed, include your monthly premium

Miscellaneous / Buffer

Unexpected costs — recommend 10% of total above

The Formula

Break-Even Services = Total Monthly Fixed Costs ÷ Average Revenue Per Service

The tracker outputs:

- Break-even service count — how many clients you need per month just to cover costs
- Break-even per week — broken down to weekly targets for easier planning
- Profit per additional service — every client above break-even earns this amount
- Days to break-even — based on your average daily client count

Use this number every month. It changes when your rent goes up, when you add a software tool, or when your average ticket changes. Check it quarterly at minimum.

———— **TAB 3**

Service Menu Planner

This tab is your complete menu overview — every service, its price floor, your current price, and the margin you're earning. It's designed to show you at a glance where you're profitable and where you're not.

How to build your menu in this tab:

Column

What to Enter

Service Name

Exactly as it appears on your menu or booking system

Category

Color / Cut / Treatment / Style / Add-On

Supply Cost (\$)

Pulled from Tab 1 if already entered there

Duration (min)

Total chair time

Price Floor (\$)

Auto-calculated from Tab 1 inputs

Current Price (\$)

What you charge today — enter manually

Margin (\$)

Auto-calculated: Current Price minus Price Floor

Margin (%)

Auto-calculated: $\text{Margin} \div \text{Current Price}$

Status

Auto-flagged: Healthy / Low Margin / Below Floor

Understanding the Status Flags

Status

What It Means

What to Do

Healthy

Margin is 20%+ above price floor

No action needed. Consider raising at next price review.

Low Margin

Margin is 0–20% above price floor

Review supply costs or raise price at next opportunity.

Below Floor

Current price is below calculated price floor

Raise immediately. You are losing money on this service.

Pro tip: Pro tip: Sort the Status column after you've filled in all your services. Any red flags tell you exactly

which prices need to change — and by how much — before your next price increase.

TAB 4

Monthly Profit Goal Setter

Most stylists think about income as a result of however many clients they happen to see. This tab flips that. You start with what you want to earn — then it tells you exactly what needs to happen to get there.

Step 1 — Enter Your Income Goal

Enter your target take-home income for the month. This is after expenses — the money that actually lands in your pocket.

Step 2 — Enter Your Working Days & Hours

How many days per week do you work? How many hours per day are you behind the chair? The calculator uses this to build your available appointment slots.

Step 3 — Enter Your Service Mix

Estimate what percentage of your appointments are each service category (color, cut, treatment, etc.) and the average price for each. This doesn't need to be perfect — a rough split gets you 90% of the way there.

What the calculator outputs:

Output

What It Tells You

Target Monthly Revenue

Gross revenue needed to hit your income goal after expenses

Required Weekly Revenue

What you need to bring in each week — a more actionable number

Required Daily Revenue

Your daily target on working days

Clients Needed Per Week

Based on your average ticket, how many appointments per week

Utilization Rate Needed

What % of your available slots need to be filled

Gap Analysis

Difference between your current pace and your goal — shown in \$ and clients

3 Ways to Close the Gap

Options: raise average ticket, add clients, add days — with math for each

The 3 Levers

Every income goal can be reached by pulling one or more of these levers. The calculator shows you the math for all three:

- Raise your average ticket — add retail, upsell add-ons, or adjust service pricing
- See more clients — fill gaps in your schedule, reduce no-shows, improve rebooking rate
- Work more days — add a day or extend hours if capacity is the constraint

Most stylists find lever 1 (raising average ticket) is the fastest path. A \$20 increase across 20 clients per week is \$400/week — \$20,000/year — with zero additional time in the chair.

Getting Started in 20 Minutes

You don't need to fill everything in perfectly on day one. Follow this sequence:

Step 1 — Tab 1, your top 5 services (5 min)

- Enter your 5 most commonly booked services
- Be honest about supply costs — look at your actual product usage
- Set your target hourly rate: what do you want to earn per hour of your time?
- Look at the price floor vs. your current price for each service

Step 2 — Tab 2, your monthly expenses (5 min)

- List every fixed expense you pay monthly
- Don't forget software, education, and a buffer for surprises
- Note your break-even service count — is it realistic given your current schedule?

Step 3 — Tab 3, your full menu (5 min)

- Add all your remaining services
- Check the Status column — any red flags?
- Note which services are Below Floor — these need immediate attention

Step 4 — Tab 4, your income goal (5 min)

- Enter what you want to take home this month
- Look at what it requires — is it achievable at your current pricing?
- Identify your primary lever: ticket, volume, or days

Using This With AI (Prompt from the AI Playbook)

Once you have your numbers from this calculator, use Prompt #47 from the Salon AI Prompt

Library to go deeper:

Help me calculate a price floor for [SERVICE]. My costs: [SUPPLIES COST]. My target hourly rate:

[\$[AMOUNT]]. Average service duration: [X] minutes. My overhead per service slot: [\$[AMOUNT]].

Walk me through the math and tell me the minimum price I should charge and the recommended price with a healthy margin.

Update this calculator quarterly — when your rent changes, when your supply costs shift, or after

every price increase. Your numbers are a living document, not a one-time exercise.